



Covered Bonds and SSA Update

CB in CA - LCR level 1, lower growth of global supra supply in 2026 - if any

OSFI proposal - LCR Level 1 for CB - supportive for spreads

Last week, Canada's Office of the Superintendent of Financial Institutions (OSFI) launched a public consultation on the 2027 Liquidity Adequacy Requirements (LAR) Guideline. OSFI proposes to introduce a new Level 1B category of HQLA, including highly rated CB subject to a 7% haircut. **In our view, this is driven by Canadian banks willing to achieve "third country equivalence" in the EU going forward (i.e. Canadian CB to be recognized as LCR Level 1 in the EU, instead of LCR level 2A at best currently).**

Under Basel III framework, highly-rated CB are typically eligible for Level 2A HQLA status, subject to a 15% haircut. Currently, in the EU, LCR Level 1 with a 7% haircut applies only to CB with EU Covered Premium Label. We highlight that the OSFI proposal (as current EU LCR rules for CB) goes beyond BIS recommendations. Under the latter, LCR Level 2A is currently still the highest HQLA category CB can achieve. The public consultation allows market participants to actively contribute to the process by submitting their feedback by 20 July 2026, ahead of the expected finalisation of the Guideline in Feb 2027 and the implementation anticipated on 1 May 2027.

In our view, given that Canadian banks have an outstanding CB volume of EUR 183.4bn equivalent (eq), with 46.5% denominated in EUR (30.5% in USD, 15% in GBP, 3% in CHF, 2.9% in CAD, 1.7% in AUD and 0.4% in NOK), they have a strong interest that the OSFI proposal for CB to be recognized as LCR Level 1B eligible in Canada becomes effective. The volume of retained Canadian CB declined significantly, down to one issue amounting to USD 5bn.

We are still somewhat cautious on strong demand for foreign CB by Canadian banks for their own LCR portfolios. For example, we understand that bonds issued by Canadian provinces are LCR Level 1 eligible in Canada (without the 7% haircut that would apply for CB). However, overall, the proposal by OSFI shows that regulatory support for CB is increasing further globally, particularly in countries making strong use of CB. **While the proposal still takes until at least 1 May 2027 to become effective and the impact on the domestic CB market in Canada is not clear, on the margin, this is positive for spreads for Canadian CB. This is due to increased likelihood "third country equivalence" for Canadian CB in the EU going forward and potentially somewhat higher domestic CB supply by Canadian issuers and therefore lower international supply.**

Bernd Volk

Strategist

+41-44-227-3710

Siddharth Garg

Research Associate



Global supra supply remains high amid low supply by Worldbank

We provide annual supply of main supra issuers globally, including all currencies since 2021 and supply ytd (based in Bloomberg, including non-benchmark bonds and taps), in total and per issuer in EUR equivalent terms (Figure 1). We provide the same for EUR, USD, and GBP denominated bonds only, in each currency (Figures 2-4).

After a strong increase of supra supply for three consecutive years, ytd supply from main supras globally stands at EUR 254.7bn equivalent (eq), which is 52% of FY 2025 (EUR 489.4bn eq). While total ytd supply by non-European supras declined by around 11% (link [here](#)), total ytd supply by European supras is up by around 8% (link [here](#)), with more to come from European supras (due to the EU having increased its FY supply indication by EUR 20bn to "around EUR 180bn" versus "around EUR 160bn" previously).

However, IBRD's ytd supply stands at EUR 16.7bn eq versus EUR 59.3bn eq for FY 2025. Regarding USD, ytd supply by IBRD stands at USD 12.9bn, 71% less than the FY 2025 USD denominated supply of USD 44.1bn. IFC's ytd supply stands at EUR 7.9bn eq versus EUR 24.2bn eq for FY 2025. It's ytd USD supply stands at USD 3.9bn which is 71% less than the USD 13.4bn issued in FY 2025. IDAWBG's ytd supply stands at EUR 2bn eq versus EUR 19.9bn eq for FY 2025, with ytd supply denominated exclusively in EUR (i.e., IDAWBG did not tap the USD or GBP market ytd).

In our view, total ytd supply by the main global supra issuers accounting for 52% versus FY 2025 leaves room for 2026 to end up with higher supply than 2025. Moreover, it is noteworthy that Worldbank entities have a financial from 1 July to 30 June of the following calendar year. However, it seems that the significant growth of global supra supply in the past two years will not be achieved in 2026, if any. For example, also on a ytd basis, supply by Worldbank entities declined significantly (link [here](#)).

On the other hand, with recently increased inflation, plenty of geopolitical challenges, stretched sovereign budgets in most countries and the consensus seeing an increased need for defence spending in many countries, we expect global supra supply to end up close to or at historically high levels also in 2026 (with the EU being the key driver of growing supply in 2026).

Despite ongoing high supply, with sovereign debt typically at staggeringly high levels and the direction of travel remaining upward, supras with high paid-in and callable capital and ratings being not strongly linked to the respective shareholders seem have assets. This is due to, for example, their typical preferred creditor status (PCS), which could become extremely important in times of further worsening sovereign credit quality. In our view, supras will be particularly needed in case of sovereign bond defaults.



Figure 1: Total annual supply (including all currencies) by main supra issuers globally since 2021 (EUR bn equivalent)

	2021	2022	2023	2024	2025	2026 Ytd
EU	132.5	118.3	115.9	138.1	152.6	83.8
EIB	55.3	44.3	49.9	63.4	64.2	41.2
EFSF	16.5	19.5	20.0	20.0	21.5	14.0
NIB	7.1	9.5	7.3	9.2	9.1	4.6
EBRD	13.4	5.4	11.1	25.9	26.4	13.0
ESM	7.7	8.0	7.8	6.0	6.7	2.5
COE	4.6	6.0	7.0	6.2	5.9	4.8
EUROF	0.8	1.8	1.5	0.7	0.9	1.1
IBRD	45.9	26.0	46.4	57.3	59.3	16.7
ASIA	29.8	31.9	26.7	30.3	37.8	24.8
Restricted	7.1	6.9	9.3	9.1	9.3	6.9
IADB	20.7	16.0	17.4	19.6	19.5	9.5
IFC	10.2	9.1	15.4	10.4	24.2	7.9
CAF	3.6	3.3	6.1	5.0	7.5	5.3
AFDB	8.0	8.8	4.8	7.0	9.8	8.4
IDAWBG	8.5	6.3	4.1	14.4	19.9	2.0
IDBINV	1.3	2.3	2.0	2.2	2.6	1.3
EURDEV	0.5	0.0	0.2	0.1	0.2	0.0
IINVBK	0.4	0.1	0.0	0.0	0.0	0.0
NEWDEV	4.7	2.0	4.3	3.7	4.5	3.4
BSTDBK	0.6	0.0	0.0	0.0	0.0	0.3
CABEI	1.3	1.3	1.8	2.3	2.8	2.5
NADB	0.0	0.0	0.0	0.1	0.0	0.0
ISDB	3.7	2.6	4.7	4.1	5.0	0.9
Total	384.1	329.4	363.6	435.2	489.4	254.7

Source : Bloomberg Finance LP, Deutsche Bank



Figure 2: Total EUR denominated annual supply by main supra issuers globally since 2021 (EUR bn)

	2021	2022	2023	2024	2025	2026 Ytd
EU	132.5	118.3	115.9	138.1	152.6	83.8
EIB	26.5	23.3	24.4	29.8	33.1	20.6
EFSF	16.5	19.5	20.0	20.0	21.5	14.0
NIB	0.7	1.3	0.9	2.7	2.0	0.2
EBRD	2.3	0.4	0.4	1.8	1.6	0.8
ESM	6.0	8.0	5.0	6.0	5.0	2.5
COE	2.1	3.9	3.2	3.2	2.1	1.1
EUROF	0.6	1.4	0.9	0.7	0.4	1.1
IBRD	6.1	1.5	8.4	6.6	6.7	0.2
ASIA	1.3	2.0	0.1	3.8	3.8	2.6
Restricted	0.0	0.2	1.5	1.0	1.0	1.0
IADB	0.0	0.0	0.0	0.0	0.1	0.0
IFC	0.3	0.0	0.0	0.1	0.0	0.3
CAF	1.3	0.6	1.0	0.2	2.0	1.0
AFDB	0.1	2.8	0.0	0.6	1.0	0.1
IDAWBG	3.8	6.0	0.6	3.9	9.3	2.0
IDBINV	0.0	0.7	0.5	0.0	0.5	0.0
EURDEV	0.3	0.0	0.0	0.0	0.0	0.0
IINVBK	0.1	0.0	0.0	0.0	0.0	0.0
NEWDEV	0.0	0.0	0.0	0.1	0.0	0.1
BSTDBK	0.1	0.0	0.0	0.0	0.0	0.0
CABEI	0.0	0.0	0.0	0.0	0.0	0.0
NADB	0.0	0.0	0.0	0.0	0.0	0.0
ISDB	0.0	0.0	0.9	1.2	1.4	0.0
Total	200.5	189.7	183.6	219.6	244.1	131.3

Source : Bloomberg Finance LP, Deutsche Bank



Figure 3: Total USD denominated annual supply by main supra issuers globally since 2021 (USD bn)

	2021	2022	2023	2024	2025	2026 Ytd
EU	0.0	0.0	0.0	0.0	0.0	0.0
EIB	20.5	15.0	18.1	28.1	22.6	16.6
EFSF	0.0	0.0	0.0	0.0	0.0	0.0
NIB	3.7	3.7	3.0	2.8	3.2	1.8
EBRD	6.7	1.8	4.7	9.6	18.1	10.3
ESM	2.0	0.0	3.0	0.0	2.0	0.0
COE	1.5	1.0	2.0	2.5	2.5	2.5
EUROF	0.0	0.5	0.7	0.0	0.6	0.0
IBRD	35.6	17.3	29.9	41.3	44.1	12.9
ASIA	22.5	21.6	20.0	18.2	21.8	17.9
Restricted	6.2	4.2	4.2	4.8	6.0	4.2
IADB	21.3	13.6	13.8	15.1	16.0	7.2
IFC	5.6	3.3	6.8	5.5	13.4	3.9
CAF	1.7	1.7	3.7	2.8	3.6	3.0
AFDB	5.6	3.8	2.6	5.0	6.4	6.1
IDA WBG	2.0	0.0	2.5	10.0	8.0	0.0
IDB INV	1.1	1.3	1.5	1.8	2.0	1.0
EUR DEV	0.1	0.0	0.0	0.0	0.0	0.0
IINVBK	0.0	0.0	0.0	0.0	0.0	0.0
NEW DEV	4.4	0.2	3.0	1.9	1.5	2.5
BSTDBK	0.1	0.0	0.0	0.0	0.0	0.4
CABEI	0.5	0.6	1.4	1.5	1.6	2.1
NADB	0.0	0.0	0.0	0.0	0.0	0.0
ISDB	4.3	2.8	4.1	3.3	4.1	1.0
Total	145.3	92.3	125.0	154.0	177.5	93.5

Source : Bloomberg Finance LP, Deutsche Bank



Figure 4: Total GBP denominated annual supply by main supra issuers globally since 2021 (GBP bn)

	2021	2022	2023	2024	2025	2026 Ytd
EU	0.0	0.0	0.0	0.0	0.0	0.0
EIB	4.4	1.4	2.1	3.0	3.3	3.0
EFSF	0.0	0.0	0.0	0.0	0.0	0.0
NIB	0.8	1.3	1.0	0.8	0.9	0.5
EBRD	0.6	0.0	0.1	1.2	2.6	0.7
ESM	0.0	0.0	0.0	0.0	0.0	0.0
COE	0.7	0.7	1.0	0.2	0.3	0.9
EUROF	0.0	0.0	0.0	0.0	0.0	0.0
IBRD	1.5	1.5	1.1	3.1	2.5	1.0
ASIA	1.7	2.4	2.1	3.3	3.5	1.9
Restricted	0.2	0.6	1.0	0.8	0.5	0.5
IADB	0.4	1.6	1.4	2.6	2.5	1.2
IFC	0.8	1.0	1.6	2.3	4.6	0.4
CAF	0.0	0.0	0.0	1.0	1.0	1.0
AFDB	1.2	0.7	0.3	0.0	1.6	1.5
IDAWBG	2.5	0.0	0.8	0.8	1.2	0.0
IDBINV	0.0	0.0	0.0	0.0	0.0	0.3
EURDEV	0.0	0.0	0.0	0.0	0.0	0.0
IINVBK	0.0	0.0	0.0	0.0	0.0	0.0
NEWDEV	0.0	0.0	0.0	0.0	0.0	0.0
BSTDBK	0.1	0.0	0.0	0.0	0.0	0.0
CABEI	0.0	0.0	0.0	0.0	0.8	0.5
NADB	0.0	0.0	0.0	0.0	0.0	0.0
ISDB	0.0	0.0	0.0	0.0	0.0	0.0

Source : Bloomberg Finance LP, Deutsche Bank

Figure 5: Full names of European supras in Figures above

Ticker	Names
EU	European Union
EIB	European Investment Bank
EFSF	European Financial Stability Facility
NIB	Nordic Investment Bank
EBRD	European Bank for Reconstruction and Development
ESM	European Stability Mechanism
COE	Council of Europe Development Bank
EUROF	Eurofima

Source : Bloomberg Finance LP, Deutsche Bank



Figure 6: Full names of non-European supras in Figures above

Ticker	Names
ASIA	Asian Development Bank
IBRD	International Bank for Reconstruction & Development
IADB	Inter-American Development Bank
AFDB	African Development Bank
IFC	International Finance Corp
CAF	Corp Andina de Fomento
NEWDEV	New Development Bank/The
CABEI	Central American Bank for Economic Integration
IDAWBG	International Development Association
IDBINV	Inter-American Investment Corp
ISDB	Isdb Trust Services NO 2 SARL
BSTDBK	Black Sea Trade & Development Bank
EURDEV	Eurasian Development Bank
IINVBK	International Investment Bank
NADB	North American Development Bank

Source : Bloomberg Finance LP



Appendix 1

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David Folkerts-Landau

Group Chief Economist and Global Head of Research

Pam Finelli
Global Chief Operating Officer
Research

Steve Pollard
Global Head of Company
Research and Sales

Jim Reid
Global Head of
Macro and Thematic Research

Tim Rokossa
Head of Germany
Research

Gerry Gallagher
Head of European
Company Research

Matthew Barnard
Head of Americas
Company Research

Peter Milliken
Head of APAC
Company Research

Debbie Jones
Global Head of Sustainability
and Data Innovation, Research

Sameer Goel
Global Head of EM & APAC
Research

Francis Yared
Global Head of Rates Research

George Saravelos
Global Head of FX Research

Peter Hooper
Vice-Chair of Research

International Production Locations

Deutsche Bank AG

Deutsche Bank Place
Level 16
Corner of Hunter & Phillip
Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG

Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG

Filiale Hongkong
International Commerce
Centre,
1 Austin Road West, Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.

1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG

21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.

The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500

Deutsche Bank AG

Filiale Singapur
One Raffles Quay, South
Tower,
Singapore 048583
Tel: +65 6423 8001